

Experience

I've entered trades a number of times using flags but few times have I traded it like a flag (using the measure rule as a target). Here's what I learned. It assumes the flagpole is upward and flag tilt is downward.

- After the flag becomes recognizable (like a week after the flagpole), place a buy order at the bottom of the flag. If the flag breaks out upward, you get in sooner than if you place a buy order at the top flag trendline or if you wait for a close above the flagpole high (either work, but you cut potential profit). I used this entry method a few times with success, but once the flag broke out downward and I suffered a loss. A downward breakout is a risk with this early entry mechanism.
- Don't wait for price to close above the top flag trendline and enter at the opening price the next day. Why? Because it's too late. If a flag works like it's supposed to (which is rare), when price breaks out upward, it starts a strong push upward. So waiting a day means you could be halfway to the target. So use a buy stop a penny above the top flag trendline (or at another location, as discussed above).
- Place a sell order at the target. With short-term trades, such as with flags, the stock could hit the measure rule target and then drop thereafter (I've seen that a lot). If you have an order to sell waiting at or near the target, you can get out on time. I had one flag trade where it reached the measure rule target (one of the few), but I didn't sell until the next day and gave back too much profit. The stock continued lower, too.
- It will be rare for the stock to reach the target before a significant retrace. Many of the flags I looked at didn't follow through with a straight-line push higher to the target. They meandered higher instead.
- If price breaks out upward rising from the flag but then closes below the bottom of the flag, sell. The stock will likely continue lower. I had that happen twice and lost money after the reversal. Keep the stop tight after an upward breakout.